Reliefs and The computation of capital gains tax

Content

C Chargeable gains for individuals

5. The computation of capital gains tax

6. The use of exemptions and reliefs in deferring and minimising tax liabilities arising on the disposal of capital assets

1. Private residence relief

Principal private residence is a person's only or main residence.

When an individual disposes his/her principal private residence, private residence relief is available.

1.1 Relief of private residence

$$\text{Private residence relief (PRR)} = \text{Gain before relief} \times \frac{Period\ of\ occupation}{period\ of\ ownership}$$

Period of occupation = Actual occupation + Deemed occupation

1. Private residence relief

Deemed occupation

- Final 9 months of ownership

Actual occupation	Absent	**Actual occupation**
Before		After

- Any period living outside the UK due to employment
- Up to 4 years living elsewhere for work (both employed and self-employed)
- Any reason for periods up to 3 years

1. Private residence relief

	Live elsewhere in UK	Live outside the UK
Employed	Up to 4 years	Any period
Self-employed	Up to 4 years	Up to 4 years

Lecture example 1

On 30 September 2025, Jane sold a house for £400,000. The house had been purchased on 1 October 2005 for £167,500. Jane occupied the house as her main residence from the date of purchase until 31 March 2009. The house was then unoccupied between 1 April 2009 and 31 December 2012 due to Jane moving to Chicago for work. From 1 January 2013 to 31 December 2019, Jane lived in her house. Then the house was unoccupied until it was sold on 30 September 2025.

Calculate Jane's capital gain arising.

1. Private residence relief

1.2 Business use

The part of principal private residence is used wholly and exclusively for trading purposes:

$$\text{Private residence relief} = \text{Gain before relief} \times \frac{Period\ of\ occupation}{Period\ of\ ownership} \times \text{private use\%}$$

The business part cannot get private residence relief.

Lecture example 2

On 30 September 2025, Henry sold a house for £155,000. The house had been purchased on 1 October 2015 for £100,000. Throughout the period of ownership, the house was occupied by Henry as his main residence, but one of the house's five rooms was always used as Henry's office premises.

Calculate Henry's chargeable gain.

2. Letting relief

2.1 Condition

The letting relief only applies when the owner lets part of the principal private residence while still occupying the rest (owner is in shared occupancy with the tenant).

Letting relief cannot create capital loss or increase loss.

2.2 Amount

Letting relief is the lowest of:

- £40,000;
- The private residence relief already given;
- The amount of the non-exempt gain attributable to the letting period.

Lecture example 3

On 30 September 2025 Mae sold a house for £326,000. The property had been purchased on 1 October 2011 for £122,000. Throughout the period of ownership, the property was occupied by Mae as her main residence, but two of the property's eight rooms (25% of the property) were always let out exclusively to tenants.

Calculate Mae's chargeable gain on sale of her house.

3. Business asset disposal relief

3.1 Conditions

- Dispose all or part of a business (sole trader or partnership) and the individual has owned the business at least two years. Gain on disposal of business asset.
- Cease trade and the individual has owned the business at least two years. Dispose business asset within three years after cessation.
- Dispose shares hold in a company at least two years and following conditions are met at least two years:

  - Officer or employee (part & full time)

  - Company is a trading company

  - Holds at least 5% of the ordinary shares or voting rights (personal company)

3. Business asset disposal relief

3.2 Effect

- The rate of tax applicable to such gains is 14%.
- Tax calculation:

  Gains qualifying for business asset disposal relief are treated as using up the basic rate band in priority to other gains

- Use of losses and annual exempt amount:

  Gains not qualifying for business asset disposal relief → Gains qualifying for business asset disposal relief

- Lifetime limit for such gains: £1m

Lecture example 4

Grey has been trading for many years. On 3 August 2025 he ceased trade and sold the assets. Gains arose on chargeable assets as follows:

Offices	£450,000
Plant	£75,000
Residential property investments	£120,700

On 23 March 2026 Grey sold a 15% shareholding in Pud Ltd which is a trading company. This resulted in a chargeable gain of £600,000.

Grey had acquired these shares on 1 June 2015 and had been an employee of the company ever since. Grey has taxable income of £10,000 for 2025-26 and capital losses of £15,000 brought forward.

Calculate Grey's taxable capital gains for tax year 2025-26, assuming Grey has not previously claimed business asset disposal relief.

3. Business asset disposal relief

3.3 Administration

Individual must claim the relief.

Claim deadline: Disposals in the tax year 2025-26, 31 January 2028.

4. Investors' relief

4.1 Conditions

Must meet all three conditions：

- Unlisted company shares must have been newly issued to the individual (subscriber)
- Issued on or after 17 March 2016 and held for at least three years after 5 April 2016
- The investor must Not be an employee or a director of the company whilst owning the share, except unremunerated director.

4. Investors' relief

4.2 Effect

- The rate of tax applicable to such gains is 14%.
- Tax calculation:

Gains qualifying for investors' relief/business asset disposal relief are treated as using up the basic rate band in priority to other gains ;

- Use of losses and annual exempt amount:

Gains not qualifying for investors' relief/business asset disposal relief
→ Gains qualifying for investors' relief/business asset disposal relief

- Lifetime limit for such gains: £1m

4. Investors' relief

4.3 Administration

Individual must claim the relief.

Claim deadline: Disposals in the tax year 2025-26, 31 January 2028.

Lecture illustration

On 6 November 2020 Elise subscribed 100,000 £1 ordinary shares (a 3% holding) in Oz Ltd, an unquoted trading company, at their par value.

She has never been an employee or director of the company.

On 22 November 2025 Elise sold the shares for £700,000. This is the only disposal for the tax year.

Calculate Elise's capital gains tax liability.

Lecture illustration -Solution

	£
Gross proceeds	700,000
Less: cost	(100,000)
Gain	600,000
Less: Annual Exempt Amount	(3,000)
Taxable gain	597,000
Capital gain tax 597,000×14%	83,580

5. Gift holdover relief

5.1 Condition

- **Qualifying disposal**

  Gift or sale at undervalue is made to an individual who is **UK resident**.

  The asset needs to be **qualifying business asset** in the hands of the donor.

- **Qualifying business assets**

  Business assets used for trading purposes by a sole trader

  Quoted shares in a personal trading company (≥ 5% voting right)

  Unquoted shares in any trading company

5. Gift holdover relief

5.2 Effect and types of calculation

- Donor could holdover the gain.
- Donee’s base cost is reduced by the gift holdover relief.

5. Gift holdover relief

I. Given as gift

Donor → Donee Donor is deemed to dispose asset at market value.

Donor:	
Disposal proceeds	MV
Less: cost	(X)
Gain	X
Less: Gift holdover relief	(X)
Chargeable gain (no gain no loss)	0
Donee: Base cost of asset	MV – Gift holdover relief

5. Gift holdover relief

II. Sale at under value

Donor ⟶ Donee Donor is deemed to dispose asset at market value.

Cost < Actual consideration < Market value

Donor: First calculate X_2 = actual consideration – cost	
Disposal proceeds	MV
Less: Cost	(X)
Capital gain	X_1
Less: Gift holdover relief	$(X_1 - X_2)$
Chargeable gain (taxed now)	X_2
Donee: Base cost of asset	MV – Gift holdover relief

Lecture example 5

Jason bought a workshop used in his trade several years ago for £50,000.

A few years later he sold it to his son for £95,000. At that day, the market value of the workshop was £210,000. The son subsequently sold the workshop for £250,000.

Jason and his son made a joint claim for gift holdover relief.

Calculate the chargeable gain on disposal of the workshop by Jason and his son.

5. Gift holdover relief

III. Gift of shares

- Condition

  The individual gifts qualifying shares for free.

- Gift holdover relief

$$\text{Gift holdover relief} = \text{Total gain} \times \frac{MV\ of\ CBA}{MV\ of\ CA}$$

CA = Chargeable asset (Assets not exempt from CGT)

CBA = Chargeable business asset (chargeable assets except investments assets)

Lecture example 6

James aged 45 gave 40% of his holding in Corn Ltd to his son when its market value was £200,000. The cost of the 40% holding was £100,000. The assets of Corn Ltd comprised the following at the date of the gift:

	£
Freehold property	270,000
Leasehold property	130,000
Inventory	30,000
Debtors	25,000
Investment property	20,000
Plant (cost and proceeds < £6,000)	40,000
Creditors	(8,000)
	507,000

What is the chargeable gain arising and the base cost of the shares to James's son?

5. Gift holdover relief

5.3 Administration

The gift holdover relief claim can be made jointly by transferor and transferee to holdover the gain.

Claim deadline: disposals in tax year (2025-26): 4 years after the end of the tax year (5 April 2030)

6. Rollover relief

Rollover relief allows a capital gain to be deferred where the disposal proceeds of the old assets are reinvested in a new asset.

6.1 Condition

- **Qualifying assets**

  The old and new asset are both used wholly in the trade.

  Both of the old and new assets must fall in one of the following categories:

- Land and buildings
- Fixed plant and machinery (not movable)
- Goodwill (for individuals only)

6. Rollover relief

- **Qualifying time**

The new asset must be purchased in 1 year before or 3 years after the date of sale of the old asset.

6. Rollover relief

6.2 Effect and types of calculation

The tax payment of gain on disposal of old asset could be deferred.

I. Full investment

A:	
Disposal proceeds	a
Less: cost	(X)
Gain	X
Less: rollover relief	(X)
Chargeable gain (no gain no loss)	0
B: Base cost	b — Rollover relief

6. Rollover relief

II. Partial investment

A:	
First calculate X_2 = a – b (amount not reinvested)	
Disposal proceeds	a
Less: cost	(X)
Capital gain	X_1
Less: rollover relief	$(X_1 - X_2)$
Chargeable gain (taxed now)/amount not reinvested	X_2
B: Base cost	b — Rollover relief

If $X_1 < X_2$, Rollover relief = 0 ,

Lecture example 7

In June 2007, Field bought some land for £140,000 for use as a fixed asset in his trade. In August 2025, he sold it for £250,000, immediately reinvesting in a freehold property for use in his trade.

Calculate the chargeable gain and the base cost of the new property assuming the new property was purchased for:

a) £260,000

b) £220,000

c) £130,000

6. Rollover relief

III. Depreciating new asset

Depreciating asset: leasehold asset or fixed plant and machinery

When the new asset purchased is a depreciating asset, the cost of new asset is fixed and may not be adjusted.

The gain arising on disposal of old asset is taxable on the **earliest** of:

- Disposal of new asset
- Date new asset ceases to be used in the trade
- 10 years after new asset was acquired.

Lecture example 8

Nick bought a factory for use in his business in November 2008 for £75,000. The factory was sold for £125,000 on 10 August 2015. On 1 June 2015, Nick bought some fixed plant and machinery for use in his business, costing £160,000.

Nick sold the fixed plant and machinery for £140,000 on 7 December 2029.

Show Nick's chargeable gains position of factory.

6. Rollover relief

IV. Destroyed or lost

6. Rollover relief

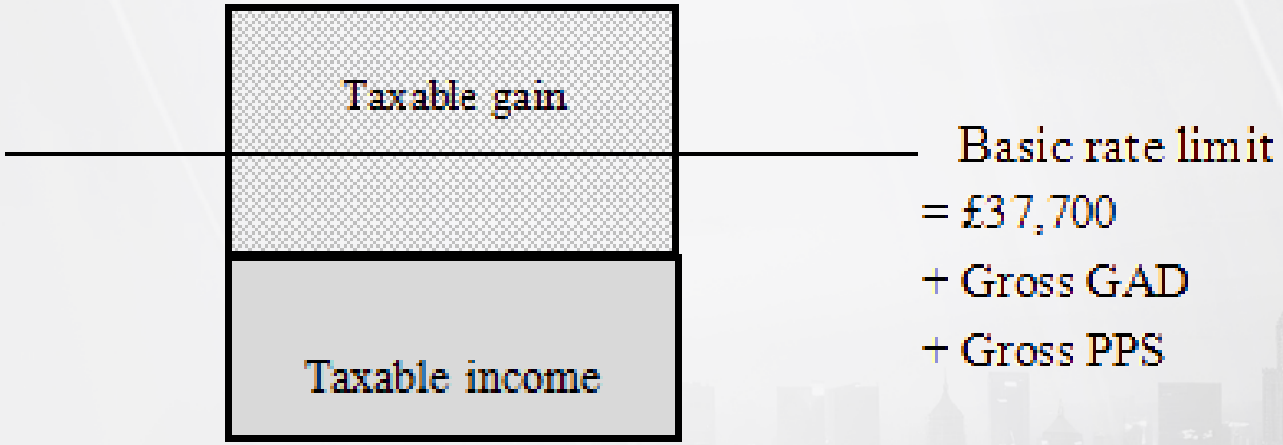
6.3 Administration

A claim for the relief must be made within 4 years of the later of the end of the tax year in which:

- Disposal is made
- Replacement asset is acquired

7. Computing capital gains tax liability

7.1 CGT rate



Basic rate limit = £37,700 + Gross Gross gift aid donation + Gross Personal pension scheme

7. Computing capital gains tax liability

7.2 CGT rate

Rate band	Taxable gain
0 - Basic rate limit	18%
Basic rate limitabove	24%

Lecture example 9

In the tax year 2025-26, Lucy has annual salary of £41,000. During the year, she paid personal pension contributions of £4,400. On 15 June 2025, Lucy sold a factory for £30,600. The factory was purchased on 4 March 1992 at cost of £13,000.

Calculate Lucy's CGT payable for the tax year 2025-26.

Lecture example 10

In the tax year 2025-26 Lily does not have any income. On 15 June 2025, she sold an antique vase and this resulted in a chargeable gain of £13,300. On 28 August 2025, she sold a residential property and this resulted in a chargeable gain of £38,600.

Calculate Lily's CGT liability for the tax year 2025-26.

8. Payment on account on residential property

A payment on account must now be made within 60 days where capital gains tax is payable in respect of a disposal of residential property. A return must be submitted to HMRC at the same time.

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Quizzes(self-practice)

Quiz 1

Kadyn sold a business asset on 31 January 2026. He plans to rollover the gain into a replacement asset which will be purchased in December 2026.

By which date should a claim for rollover relief be made?

A.5 April 2030
B.5 April 2031
C.31 January 2031
D.31 January 2030

Quiz 1-A

The correct answer is **B.**
A claim must be made within four years of the end of the tax year in which the gain arises (e.g. by 5 April 2030, for a personal taxpayer making a disposal in the tax year 2025-26) or within four years of the end of the tax year in which the new asset is acquired, whichever is later. Since the new asset is acquired in December 2026, which is in the tax year 2026-27, the claim must be made by 5 April 2031.

Quiz 2

Jonny sold a warehouse which he used in his trade, in April 2020 for £600,000. It had cost him £300,000 in February 2015. Jonny bought a replacement warehouse for £500,000 in March 2023, which he then sold in March 2026 for £850,000, when he ceased trading.

What is Jonny's chargeable gain arising in the tax year 2025-26?

A.£350,000
B.£650,000
C.£100,000
D.£550,000

Quiz 2-A

The correct answer is **D.**

April 2020	**£**
Proceeds	600,000
Less: cost	(300,000)
Gain	300,000
Less: Rollover relief	(200,000)
Chargeable gain	100,000

Not reinvested=Proceeds of old factory-Cost of new factory

Quiz 2-A

March 2026

Proceeds	850,000
Less:Base cost(500000-200000)	(300,000)
Chargeable gain	550,000



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